UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2024/2025

SEPTEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

TUESDAY, 8 OCTOBER 2024 TIME: 9.00 AM – 12.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONOURS)

Instructions to Candidates:

Section A: [Total: 40 marks]

ONE (1) question is compulsory and **MUST** be answered.

Section B: [Total: 60 marks]

TWO (2) questions **ONLY** to be answered.

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Section A: Answer ALL questions. (Compulsory) **[Total: 40 marks]**

Q1. (a) Waverley Plc, a company based in the United Kingdom has imported some goods from Spain which is worth Euro (€) 400,000 and the payment is due in 6 months' time. The company is considering various choices in order to hedge its transaction exposure. Assume that Waverley Plc has a cost of capital of 10% and currently has no cash surplus.

Exchange rates	**€/£**
Spot rate	1.1600-1.1655
3 months forward	1.1500-1.1595
6 months forward	1.1438-1.1495

Money market rates (% per annum)	**Borrow**	**Deposit**
Euro (€)	6%	4.5%
British pound (£)	7%	5.5%

Required:

Calculate the British pound (£) payment which Waverley Plc will incur for the 6-month transaction if the company hedges foreign exchange risk in the:

(i) Forward market (3 marks)

(ii) Money market (6 marks)

(iii) Spot market by using leading strategy (4 marks)

(iv) Evaluate which is the best hedging technique for Waverley Plc for the 6 months hedging. (3 marks)

(b) A discount of 1% is offered if the purchase is paid within 3 months. Analyze how does this discount affect the answer in part (iv) above. (16 marks)

(c) Evaluate how a multinational corporation can utilize internal hedging strategies, such as natural hedging and netting to mitigate the risk of currency fluctuations affecting its overseas operations and profitability. (8 marks)

[Total: 40 marks]

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Section B: Answer TWO (2) questions only. **[Total: 60 marks]**

Q1. (a) You have been hired as a consultant by a company that regularly exports goods to international buyers. Explain the concept of a letter of credit (LC) to the company, and justify with examples why the company might consider using it as a form of trade financing especially in addressing the risk of non-payment. (10 marks)

(b) Explain the difference between sterilized and non-sterilized interventions and how would the central bank strengthen the home currency under sterilized intervention. (12 marks)

(c) Describe locational arbitrage in the context of foreign exchange markets, and provide an example where a trader could exploit pricing disparities across different locations to generate profit.

You can use this current spot rates as an example for your answer. (Assume the trader has Ringgit Malaysia (MYR) 1,000,000 for investment)

	Bid	Ask
Maybank	MYR4.7120/USD	MYR4.7125/USD
Public Bank	MYR4.7000/USD	MYR4.7020/USD

(8 marks)
[Total: 30 marks]

Q2. (a) Fred works for a US company that has exported goods to Manchester, UK and is due to receive a payment of £1,600,000 in two months' time. It is now the end of July. The contracts are in Sterling (£12,500). You may choose between the following foreign currency option prices in London for dollar/sterling contracts:

	CALLS	**PUTS**
Exercise price	**September**	**September**
1.9000	0.0555	0.0042
1.9500	0.0275	0.0415
2.0000	0.0025	0.0940

Option prices are in cents per £.
The current spot exchange rate is $1.9405/£ - $1.9425/£.

Calculate and explain whether your company should hedge its sterling exposure on the foreign currency option market if the company's treasurer believes the spot rate in 2 months' time will be:

(i) $1.8950/£ - $1.8970/£ (6 marks)

(ii) $2.0240/£ - $2.0260/£ (2 marks)

Section B Q2. (Continued)

(b) Assess the advantages and disadvantages for the host nation regarding the inflow of foreign direct investments from multinational corporations.

(10 marks)

(c) An American car manufacturer, exports cars to Asia. However, the strong dollar against Asian currencies hurts sales of the American cars in Asia. In the Asian market, the American car manufacturer faces competition from the Chinese car manufacturers.

Required:

Discuss the measures that you would recommend in order for the American manufacturer to maintain its market share in Asia.

(12 marks)
[Total: 30 marks)

Q3. (a) WMH Berhad produces goods in Malaysia, Japan and Singapore, and sells the goods in the countries where they are produced. Foreign earnings are periodically remitted to the Malaysian parent. As the yen's interest rates have declined to a very low level, WMH Berhad has decided to finance its Japanese operations with borrowed funds in place of the parent's equity investment. WMH Berhad will transfer the Malaysian parent's equity investment in the Japanese subsidiary to its Singaporean subsidiary. These equity investment funds will then be used to pay off a floating-rate loan in the Singaporean subsidiary, as the Singaporean dollar interest rates have been high and are rising.

Required:

(i) Explain the expected effects of these actions on the parent's capital structure and cost of capital of WMH Berhad. (6 marks)

(ii) Given the strategy to be used by WMH Berhad, discuss how their exposure to exchange rate risk may have changed for each of its Japanese and Singaporean operations. (6 marks)

Section B Q3. (Continued)

(b) Kessex Ltd. has deficit funds and it plans to use a surplus of $1 million in their fixed deposit account to invest in a 1-year deposit with a 6% interest rate. However, it is attracted by the higher interest rates in Australia and decides to create a 1-year deposit denominated in Australian dollars (AUD) with a 9% interest rate, when the exchange rate is $0.68/AUD. One year later, the company decides to convert the Australian dollars deposits into US dollars, when the exchange rate is $0.72/AUD, as they do not have any immediate use for the Australian dollars.

Required:

Evaluate how will the change in exchange rate impact the company's returns from the deposit in Australian dollars.

(9 marks)

(c) Explain **THREE (3)** reasons why some MNCs prefer to borrow foreign currency when they need home currency to finance their investments.

(9 marks)

[Total: 30 marks]